

Australia Daily Brief

Thursday, September 10, 2026

1,931 words · 8 min read

RE: Rudd warns one-in-three Taiwan risk by 2028 · Naoero opens Jerusalem embassy · Landau in Chuuk and Honiara · Five Eyes report: SAS veterans courted by Russia · Canberra softens LNG reservation rule

ASX 200

8,819

-2.23%

AUD/USD

0.7168

-0.46%

NZX 50

13,711

-0.98%

NZD/USD

0.5808

-1.33%

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○ TODAY AT A GLANCE

- 1 Kevin Rudd put the odds of China attempting to seize Taiwan by 2028 at one in three and called for a "radical change in our national mindset", on a day parliament voted down a bid to require Australians to declare foreign military service.
- 2 Naoero, formerly Nauru, opened an embassy in Jerusalem, the third Pacific Islands Forum member to do so after Papua New Guinea in 2023 and Fiji last year, with Israel promising medical equipment and water purification systems in return.
- 3 US Deputy Secretary of State Christopher Landau assured the Federated States of Micronesia in Chuuk that Washington recognises its sovereignty, then held bilateral talks with Solomon Islands Prime Minister Matthew Wale in Honiara.

○ TOP STORIES

AU-FOREIGN-POLICY

Rudd puts odds of a Chinese move on Taiwan by 2028 at one in three

Kevin Rudd said there is a *one in three chance* China will try to seize Taiwan by 2028, warning that Australia is "on borrowed time" and becoming "second rate". The former prime minister called for Australians to adopt a "radical change in our national mindset" and pressed for a more ambitious national policy agenda. His intervention lands while the government prepares an immigration package and defends its digital duty of care bill in parliament.

per SMH Federal Politics (Matthew Knott): "We are on borrowed time": Rudd's dire warning Australia is becoming 'second rate'"

AU-DEFENSE

Leaked Five Eyes assessment says SAS veterans approached to train Russian troops

Special forces veterans from Australia and Britain were approached to provide illegal training to Russian soldiers fighting Ukraine, according to a leaked Five Eyes intelligence assessment reported by the Sydney Morning Herald. The report does not name the veterans approached or say whether any accepted. It surfaced on the same sitting day that the Senate rejected a proposal to require Australians to declare service in foreign armies.

per SMH World: "Ex-Australian special forces troops approached to train Russians to fight Ukraine, leaked report claims"

PACIFIC-DIPLOMACY

Naoero opens Jerusalem embassy, third Forum member to do so

Nauru, using its traditional name Naoero, opened an embassy in Jerusalem. Vice-President **Lionel Aingimea** said the move was "born in discussions" with Israeli Foreign Minister **Gideon Sa'ar** in Fiji and was "an easy decision to make". Sa'ar said Israel has committed to sending Naoero medical equipment and water purification systems, and said earlier this year that Samoa is expected to open its own Jerusalem embassy in 2026. Islands Business reported regional and international condemnation of the opening.

per RNZ Pacific (wire): "Easy decision": Naoero becomes third Pacific Islands Forum member with Jerusalem embassy" · also Islands Business

US-CHINA-PACIFIC

Landau tells FSM Washington recognises its sovereignty

US Deputy Secretary of State **Christopher Landau** told the Federated States of Micronesia in Weno, Chuuk, that Washington recognises the country's status as an independent state. Landau also held bilateral talks in Honiara with Solomon Islands Prime Minister **Matthew Wale**, with Islands Business listing development, partnership and the Peace Corps among the topics. The trip took the deputy secretary to two of the region's three Compact of Free Association partners and to the Forum's outgoing chair.

per Pacific Island Times: "US recognizes Micronesia's sovereignty, Landau assures FSM president" · also Islands Business

OVERNIGHT

AU-POLITICS

Sydney businessman gets Australia's first foreign interference sentence — **Alexander Csergo**, 58, was sentenced to three and a half years for reckless foreign interference over reports he compiled for two suspected Chinese intelligence contacts, known to him as "Ken" and "Evelyn", while working in Shanghai between 2021 and 2023. He is the first Australian sentenced for the offence and will be eligible for parole as early as next month after more than 600 days in custody. · ABC News

AU-POLITICS

Malinauskas warns of migration 'race to the bottom' as parties talk — South Australian Premier **Peter Malinauskas** told the Sydney Institute that cuts to skilled migration amount to economic self-harm and that the answer to anti-immigration populism is "not appeasement". The government confirmed it is in

discussions with the opposition on immigration; **Angus Taylor** met **Anthony Albanese** this week. Plans to cut more than 6,000 places from the annual refugee intake have angered parts of Labor. · ABC News

TRADE-ECONOMY

Queensland credit downgrade described as imminent — A cut to Queensland's AA+ rating is imminent, the ABC understands, with federal Treasurer **Jim Chalmers** calling the risk "very troubling" and citing a sharp deterioration in the state's fiscal position despite increased Commonwealth support. AMP chief economist Shane Oliver said higher debt servicing costs would mean either fewer services, higher taxes, or a larger deficit. · ABC News

TRADE-ECONOMY

Canberra softens east coast gas reservation rule for LNG exporters — Australia has softened its planned east coast gas reservation rule for LNG exporters, Reuters reported, as the government released draft legislation for a domestic national gas reservation scheme. The Australian reported that a Santos-backed exporter wins a reprieve and that Labor has eased a 20 percent domestic supply obligation in the blueprint. · Reuters

AU-POLITICS

Joyce and Hanson split as RSL condemns 'traitor' video — **Barnaby Joyce** and **Pauline Hanson** have divided over the One Nation video calling Liberal frontbencher **Andrew Hastie** a traitor for giving evidence in the Ben Roberts-Smith defamation case. Hastie said he will not sue, telling the AFR Hanson is "backed by Australia's richest person", while the RSL national president called the attack "un-Australian" and Senator **Jacqui Lambie** defended Hastie in the Senate. · AFR

STAT OF THE DAY

\$126m

KPMG contracts for top secret AUKUS work

The Australian reports an urgent call to review the consultancy's classified AUKUS contracts.

The Australian

AUKUS WATCH

PILLAR 1 · THE AUSTRALIAN

Urgent call to review KPMG's classified AUKUS contracts

The Australian reports an "urgent" call to review KPMG's top secret AUKUS work, with the firm retaining \$126 million in contracts. The report does not set out which agency would conduct the review or when.

PACIFIC WIRE

FIJI · ABC PACIFIC

Fiji donations bill would lift caps and admit foreign money

Fiji's government says amendments to the Political Parties Act will cap campaign spending and create a level playing field. Transparency and Integrity Fiji spokesman **Sikeli Naketeca** said the same bill removes limits on

donations received, allows non-citizens and former citizens to donate, and would let candidates disclose donations only after polling day.

FIJI · RNZ PACIFIC (WIRE)

Fiji police question five suspects over death in military custody

Police say they have questioned five of eight "likely suspects" over the death of **Jone Vakarisi**, 37, who died on 17 April after being taken to Republic of Fiji Military Forces headquarters in Suva for questioning. The file goes to the Director of Public Prosecutions once the remaining three are interviewed. RFMF commander **Ro Jone Kalouniwai** corrected an earlier statement attributing the death to pre-existing conditions.

REGIONAL · RNZ PACIFIC (WIRE)

Canberra seeks MSG observer status, sidesteps Torres Strait question

Asked in Koror about Torres Strait Islander participation in the Melanesian Spearhead Group, Pacific Island Affairs Minister **Pat Conroy** answered on behalf of **Anthony Albanese** that Australia wants observer status, noting he was the first Australian minister to attend an MSG meeting as an observer, in Fiji in June 2025. RNZ reports the MSG's new director general **Anna Naupa** takes a different view, treating Torres Strait Islanders as part of the Melanesian family.

VANUATU · ABC PACIFIC

Volcanic ash pollutes water sources on Ambae

Increased volcanic activity and ash fall on Ambae Island have polluted water sources, leaving a shortage of drinking water, ABC Pacific reported. Ambae's population was evacuated wholesale during earlier eruptive episodes, and the island's water supply depends heavily on surface catchment.

TONGA · ISLANDS BUSINESS

Meteorological council opens in Tonga with early warning push

Pacific meteorological leaders opened the Eighth Pacific Meteorological Council in Tonga with calls for stronger warning systems as climate risks grow. Tonga's deputy prime minister told the meeting that no community is too remote for an effective warning, and that governments and development partners must maintain multi-hazard systems. Delegates revisited the Nuku'alofa declaration eleven years on.

REGIONAL · ISLANDS BUSINESS

Fiji justice minister urges regional front against organised crime

Fiji's Justice Minister and Acting Attorney General **Siromi Turaga** told Pacific justice and corrections leaders that criminal networks are exploiting the region's borders, and pressed for closer cooperation across jurisdictions. The meeting covered corrections and cross-border crime cooperation.

PAPUA NEW GUINEA · RNZ PACIFIC (WIRE)

Port Moresby police chief shifts to proactive policing before 2027 poll

Metropolitan Superintendent **Warrick Simatab** told RNZ Pacific the constabulary has more resources than in previous years and is moving from reactive to proactive policing through neighbourhood programmes and city wardens. He cited next year's general election and the PNG Chiefs joining the NRL in 2028 as security planning drivers, and said internal migration is adding social pressure.

SOLOMON ISLANDS · ISLANDS BUSINESS

Wale seeks international partners to preserve Bloody Ridge

Solomon Islands Prime Minister **Matthew Wale** called for continued international partnership to preserve and develop the Bloody Ridge battlefield on Guadalcanal as a heritage and remembrance site. The appeal came during the week of the US deputy secretary of state's visit to Honiara.

REGIONAL · ISLANDS BUSINESS

Forum Fisheries Agency wins global recognition for tuna management

The Pacific Islands Forum Fisheries Agency has been recognised internationally for the collective leadership of Pacific Island countries in responsible fisheries management. The agency coordinates access and surveillance arrangements across the region's tuna fishery, the largest single revenue source for several member states.

NEW ZEALAND

NZ-POLITICS · RNZ PACIFIC (WIRE)

Luxon and Hipkins court business owners with under two months to the vote

With parliament in recess, **Christopher Luxon** opened the *\$100 million* Meadow Fresh High Value Dairy Centre in Upper Riccarton, Christchurch, which will make high-protein milk products for export to Asia and has created 25 jobs. He attacked Labour's capital gains tax, saying it "is going to smash up businesses big time". **Chris Hipkins** campaigned on Dominion Road in Auckland with candidates Michael Wood and former police officer Rakesh Naidoo.

NZ-DEFENSE · ISLANDS BUSINESS

NZDF clears 300 wartime munitions in Kiribati's Betio

A joint operation disposed of some 300 World War II munitions in one of Kiribati's most densely populated communities, at Betio, with evacuations during the clearance. The New Zealand Defence Force provided the explosive ordnance disposal effort.

CANBERRA POLITICS

AU-DEFENSE · SMH FEDERAL POLITICS

Bid to force declaration of overseas military service voted down

Australians will continue to be able to travel to serve in foreign armies, including forces accused of war crimes, without government oversight, after the proposal was defeated. One supporter called the outcome "beyond belief".

AU-POLITICS · SMH FEDERAL POLITICS

Taylor calls digital duty of care bill 'political censorship'

Opposition Leader **Angus Taylor** attacked the government's Digital Duty of Care bill as an attempt at "political censorship". The Herald notes that **Jacinta Nampijinpa Price**, who says the algorithm changes are politically motivated, signed off on a similar measure two years ago.

AU-POLITICS · SMH FEDERAL POLITICS

Albanese and Minns relationship deteriorates over crime claims

Federal and New South Wales Labor ministers traded accusations over the murder of two men, with Canberra rejecting what it called "falsehoods" about a crime wave. The Australian reports a funding threat has been labelled political treachery inside the party.

AU-POLITICS · ABC NEWS

One Nation to back Greens bill banning fracking on Limestone Coast

One Nation will support a Greens bill to permanently ban fracking for gas in South Australia's South East, an unusual alignment as federal debate over gas supply continues.

◦ BUSINESS AND ECONOMY

TRADE-ECONOMY · AFR

Nvidia to help build 2GW Australian compute network by end of 2027

Nvidia set out plans to double Australian compute capacity, saying it will help local partners build a 2GW network by the end of next year, and flagged the energy strain that entails. The Australian reported accompanying deals to build Australian AI factories under a "build AI at home" pitch.

TRADE-ECONOMY · ABC NEWS

Antimony production restarts at Hillgrove as price doubles

Mining resumed at the Hillgrove site near Armidale after more than a decade idle, with about 5,000 tonnes of antimony expected to reach world markets. Larvotto Resources said the price has more than doubled since it acquired the site in 2023, to *\$US26,300 per tonne*. Antimony is used in fire retardants, solar cells, batteries, and defence manufacturing.

TRADE-ECONOMY · AFR

Macquarie chief says superannuation success bred complacency

Macquarie Group chief executive **Shemara Wikramanayake** said Australia's superannuation success has made the country complacent and that it must work harder to attract investment.

TRADE-ECONOMY · THE AUSTRALIAN

Half of recent Sydney and Melbourne buyers face negative equity risk

The Australian reports that half of recent buyers in Sydney and Melbourne face negative equity risk as prices fall, following analyst forecasts earlier this week of declines of up to 15 percent.

◦ UPCOMING

Sep
16

Papua New Guinea marks its 51st independence anniversary

Independence week sets the domestic backdrop for PNG's pre-election year.

Oct
26

Advance voting opens for the New Zealand general election

Two weeks of early voting will shape the closing arguments on tax and migration.

Nov
7

New Zealand general election

Determines whether the National, ACT and NZ First coalition continues its foreign and defence settings.

expected in 2027

Papua New Guinea general election

Port Moresby's police leadership is already planning security around the poll.

no confirmed date
2026

Fifth round of Timor-Leste and Indonesia boundary negotiations

Unsettled maritime limits leave Dili losing revenue to illegal fishing, Gusmao said.

◦ THE WIRE

PACIFIC-DIPLOMACY

ABC PACIFIC

AUSTRAC trains Pacific financial intelligence units

Australia's financial intelligence unit is running two major training initiatives in Papua New Guinea and Solomon Islands aimed at detecting and disrupting money laundering and organised financial crime.

PACIFIC-POLITICS

ISLANDS BUSINESS

Fiji declares HIV outbreak a national crisis

Fiji has declared its HIV outbreak a national crisis, PACNEWS reported. The same bulletin carried MPs being told Fiji cannot take Australia to court under the countries' new treaty, and a report that sea level rise is locked in for the Pacific under UN overshoot pathways.

ISLANDS BUSINESS

Solomon Islands police detain Australian after weapon threat

Police in Solomon Islands used weapons to detain an Australian who allegedly threatened a shopkeeper, in a case Islands Business links to methamphetamine.

ISLANDS BUSINESS

Solomon Islands fisheries ministry launches inclusion strategy

The Ministry of Fisheries and Marine Resources launched a Gender Equality, Disability and Social Inclusion strategy for the sector, which supplies a large share of national export earnings.

AU-FOREIGN-POLICY

ABC NEWS

UK MP says Australia would be welcome to join West Bank settlement sanctions

A British MP told ABC Radio National that Australia would be "welcome" to join the United Kingdom's sanctions on West Bank settlements.

TRADE-ECONOMY

ABC NEWS

Chinese container ship halves Asia-Europe transit via Arctic route

The Dubai Tower, operated by Sea Legend, reached Teesport in 25 days from Ningbo-Zhoushan carrying about 1,500 containers, on the first sailing of a weekly seasonal service Beijing calls the "Polar Silk Road". Eight voyages are planned between August and October.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

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